

It's Over! The British Government has MESSED it UP

Forget the promises we heard – the economic boom, global leadership, and a bright future? All gone. Britain now faces a disaster of its own making, thanks to the government's big-time mess-up.

The messy way Brexit happened made existing economic problems worse, like problems with trade, higher prices, and housing. These issues were there before the vote, but Brexit didn't make things better.

This, in turn, strains the government's welfare system as it heavily depends on public funds. It's not just an economic crisis; it's a social and moral one.

To grasp the full impact of this government blunder, let's go back in time. During Tony Blair's era in the late '90s and early 2000s, "Cool Britannia" sparked a tech boom and cultural renaissance, driving economic growth. Investments in healthcare, education, and infrastructure led to a 2.9% average GDP growth, reduced unemployment, and improved living standards.

[Source:

<https://m.economictimes.com/news/international/britains-gdp-grows-2-9-in-third-quarter/articleshow/888823.cms>]

Despite overall prosperity, the wealth gap widened, and unsustainable credit, along with inflated property prices, set the stage for a looming crisis.

[Source:

<https://m.economictimes.com/news/international/britains-gdp-grows-2-9-in-third-quarter/articleshow/888823.cms>]

When Gordon Brown took over, the 2008 financial crisis hit, causing a 6.2% drop in GDP in 2009. Brown's swift response included bank bailouts and fiscal stimulus packages to revive the economy and protect jobs.

[Source: <https://cep.lse.ac.uk/pubs/download/occasional/op025.pdf>]

However, the cost was high, escalating national debt from over 37% of GDP by 2007 to 83% of GDP, fueled by easy credit and inflated asset prices.

[Source: <https://debtjustice.org.uk/countries/united-kingdom>]

The Cameron-Liberal Democrat coalition inherited a nation in crisis and opted for austerity to restore fiscal stability. This led to significant public spending reductions across sectors, affecting healthcare, education, social services, and infrastructure. Taxes went up, making it harder for lower and middle-income families because they had less money for important things like groceries, housing, and utilities. This led to financial difficulties for many people.

Despite the intent to boost long-term growth, austerity resulted in immediate stagnation. GDP growth averaged around 2.5%, trailing behind major European economies.

[Source: <https://journals.sagepub.com/doi/10.1177/2041905819838148>]

Brexit's ongoing uncertainty, starting from the 2016 referendum, still affects investment and economic activity. The slow recovery after the crisis follows a troubling pattern from Britain's history, where internal issues and political divisions have often hindered progress. Euroscepticism is now a powerful influence, and its impact feels like a familiar situation repeating old mistakes in a different form.

[Source: <https://commonslibrary.parliament.uk/research-briefings/cbp-7960/>]

Despite the periods of growth and expansion in the United Kingdom's history, there have been enduring negative impacts. Notably, the 2020 departure from the European Union, known as "Brexit," marked a significant turning point with far-reaching consequences.

While the idea of reclaiming sovereignty and autonomy seemed promising during the disentanglement from the EU, the actual effects were profound. One of the immediate and tangible impacts of Brexit has been felt in trade. Increased customs checks and paperwork, particularly with the EU, the UK's major trading partner, have caused disruptions in the flow of goods.

As reported by the Centre for Economic Performance, UK goods exports to the EU experienced a 15% decline in 2021 compared to 2019. In contrast, non-EU exports remained largely unchanged. This decline underscores the specific challenges posed by the new trade barriers with the EU, showcasing the real and immediate consequences of the Brexit decision.

[Source: <https://www2.deloitte.com/uk/en/pages/tax/articles/why-has-the-uk-missed-out-on-a-trade-boom.html>]

The pound's depreciation after the Brexit vote hiked up import costs, contributing to a 40-year high inflation of 9.1% in 2022. This surge in prices added pressure on household budgets.

[Source: <https://amp.theguardian.com/business/2022/jun/22/uk-inflation-rises-to-91-its-highest-rate-in-40-years>]

Beyond trade challenges, Brexit also dealt a blow to investor confidence. The uncertainty surrounding the UK's future relationship with the EU and potential regulatory changes made businesses wary of investing, impacting economic growth.

[Source: <https://www.eba.europa.eu/impact-brexit-consumers>]

As if grappling with the aftermath of Brexit wasn't enough, the COVID-19 pandemic struck, dealing a devastating blow. Lockdowns, travel restrictions, and supply chain disruptions caused a deep recession, with the UK economy contracting by 9.9% in 2020 – the worst among G7 nations.

[Source: <https://www.reuters.com/markets/europe/uk-inflation-hits-91-may-2022-06-22/>]

To counter this, the government injected about £6.8 billion into the economy through schemes and grants. However, this massive spending elevated the UK's budget deficit to record levels, raising concerns about long-term fiscal sustainability.

[Source:

<https://hansard.parliament.uk/commons/2020-06-16/debates/8AE7CE91-036E-40BA-A62C-B47CC7393233/EconomicOutlookAndFurloughSchemeChanges>]

The Bank of England cut interest rates to 0.25% and initiated quantitative easing to boost lending and economic activity. The UK secured trade deals with countries like Australia, New Zealand, and Japan to diversify trading relationships. Figures

[Source:

<https://www.nytimes.com/2016/08/05/business/dealbook/bank-of-england-interest-rates-brex-it.html>]

Despite these efforts, a formidable adversary emerged: the soaring cost of living. Fueled by Brexit, the pandemic, and global factors, the Consumer Confidence Index dropped to -22 in December 2023. Households faced almost 10% more expenses for the same goods and services compared to a year ago.

[Source:

<https://tradingeconomics.com/united-kingdom/consumer-confidence#:~:text=Consumer%20Confidence%20in%20the%20United,points%20in%20September%20of%202022.>]

Food prices have surged, marking a 19.2% year-on-year increase as of March 2023 as opposed to 9.2% in November. Essential items like bread, pasta, and dairy products have witnessed a significant spike, placing considerable strain on families' grocery budgets.

[Source:

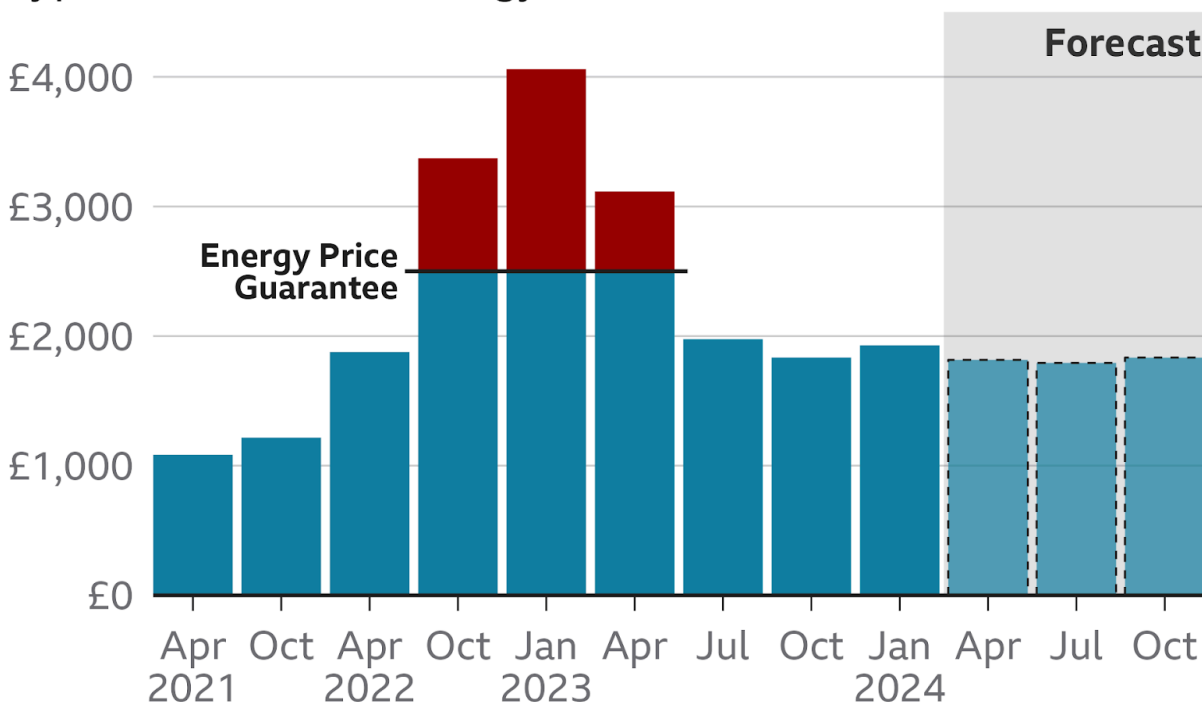
<https://www.ons.gov.uk/economy/inflationandpriceindices/articles/costoflivinginsights/food#:~:text=Food%20price%20inflation%20falls%20to%20lowest%20level%20since%20April%202022&text=This%20was%20the%20ninth%20consecutive.seen%20for%20over%2045%20years.>]

Energy bills have skyrocketed due to global gas price volatility and the Ukraine conflict. The average household energy bill is at an average of £2,500.

[Source: <https://www.bbc.com/news/business-58090533.amp>]

How the Ofgem price cap has changed

Typical household's energy bill*



*For a typical household on a price-capped, dual-fuel tariff paying by direct debit

Sources: Ofgem, Cornwall Insight

BBC

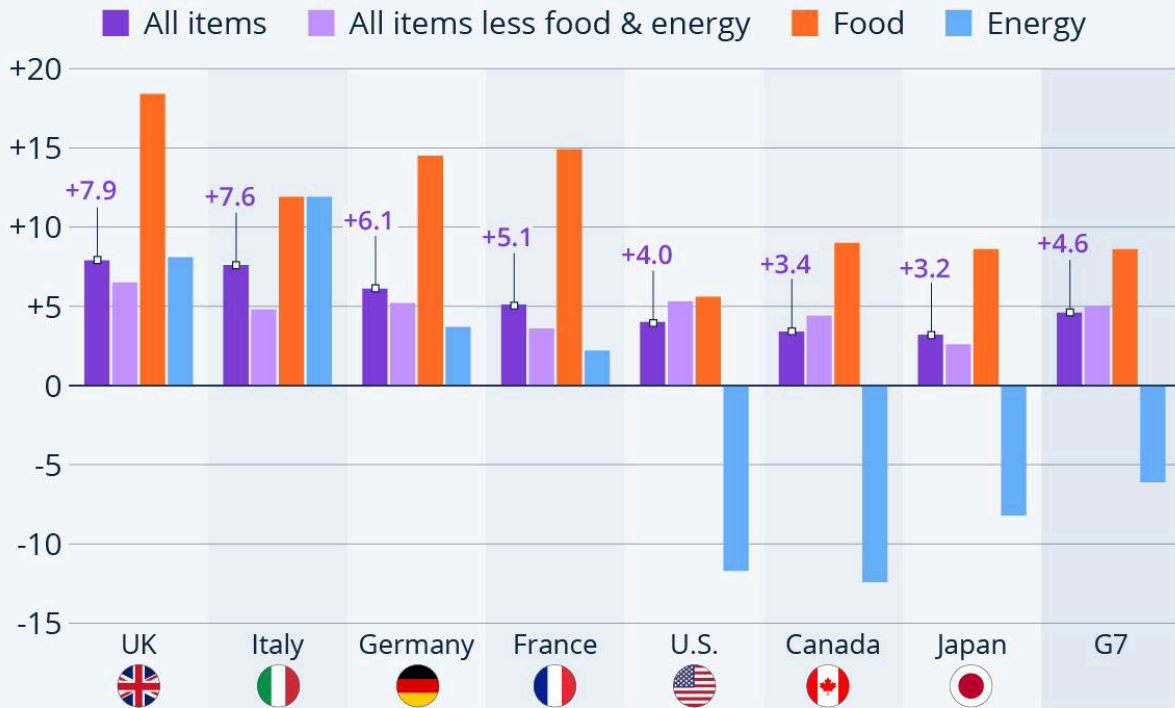
[Source: <https://www.bbc.com/news/business-58090533.amp>]

Businesses are feeling the pinch from rising costs, including higher energy bills and raw material prices, eating into profits. Some are forced to raise prices or cut back on production.

In contrast, France has managed to maintain its inflation at 4.10%. [Source: https://ycharts.com/indicators/france_inflation_rate#:~:text=Basic%20Info,long%20term%20average%20of%201.79%25.]

Which G7 Economies Have the Highest Inflation?

Inflation rates in G7 countries in May 2023 (in %)



Sources: OECD, Statistics Bureau of Japan



statista

[Source: <https://www.statista.com/chart/amp/30398/inflation-rates-in-g7-countries/>]

The UK housing market is caught in a perfect storm, where multiple factors are propelling rents to unprecedented heights, resulting in a surge in homelessness and making homeownership an elusive goal for many.

Average rents across the UK have soared in recent years, surpassing wage growth and putting a strain on household budgets. In December 2023, the average monthly rent for a new tenancy in the UK hit a record high of £1,480.

[Source:

[https://www.nimblefins.co.uk/business-insurance/landlord-insurance-uk/average-rent-uk#:~:text=The%20average%20private%20rent%20in%20England%20is%20%C2%A3200%20a. \(%C2%A3341%20a%20week\)](https://www.nimblefins.co.uk/business-insurance/landlord-insurance-uk/average-rent-uk#:~:text=The%20average%20private%20rent%20in%20England%20is%20%C2%A3200%20a. (%C2%A3341%20a%20week))]

London maintains its status as the most expensive city to rent, with an average monthly rent exceeding £2,000 (\$2,400). However, rent increases have been sharp nationwide, impacting even traditionally affordable regions. [Source: <https://homelet.co.uk/homelet-rental-index/london>]

Soaring rents are pushing housing costs beyond the reach of many households. According to the Joseph Rowntree Foundation, nearly all private renters are now classified as "cost-burdened," with 20% of incomes going without food or other basic essentials like clothing or toiletries. [Source:

<https://www.jrf.org.uk/cost-of-living/going-under-and-without-jrfs-cost-of-living-tracker-winter-2022-23>]

The number of people experiencing homelessness in the UK has been steadily increasing, and the pandemic has worsened the problem. In England alone, over 309,000 people were estimated to be homeless in December 2023, marking a 14% increase from the previous year.

[Source:

https://england.shelter.org.uk/media/press_release/at_least_309000_people_homeless_in_england_and_today#:~:text=At%20least%20309%2C000%20people%20homeless%20in%20England%20today%20%2D%20Shelter%20England]

Despite the growing need, access to affordable housing and support services remains limited, trapping many in a cycle of homelessness.

The average house price in the UK has been consistently rising, fueled by low interest rates and strong demand. In October 2023, the average house price reached a record high of £457,730 marking a 5.1% increase from the previous year. [Source:

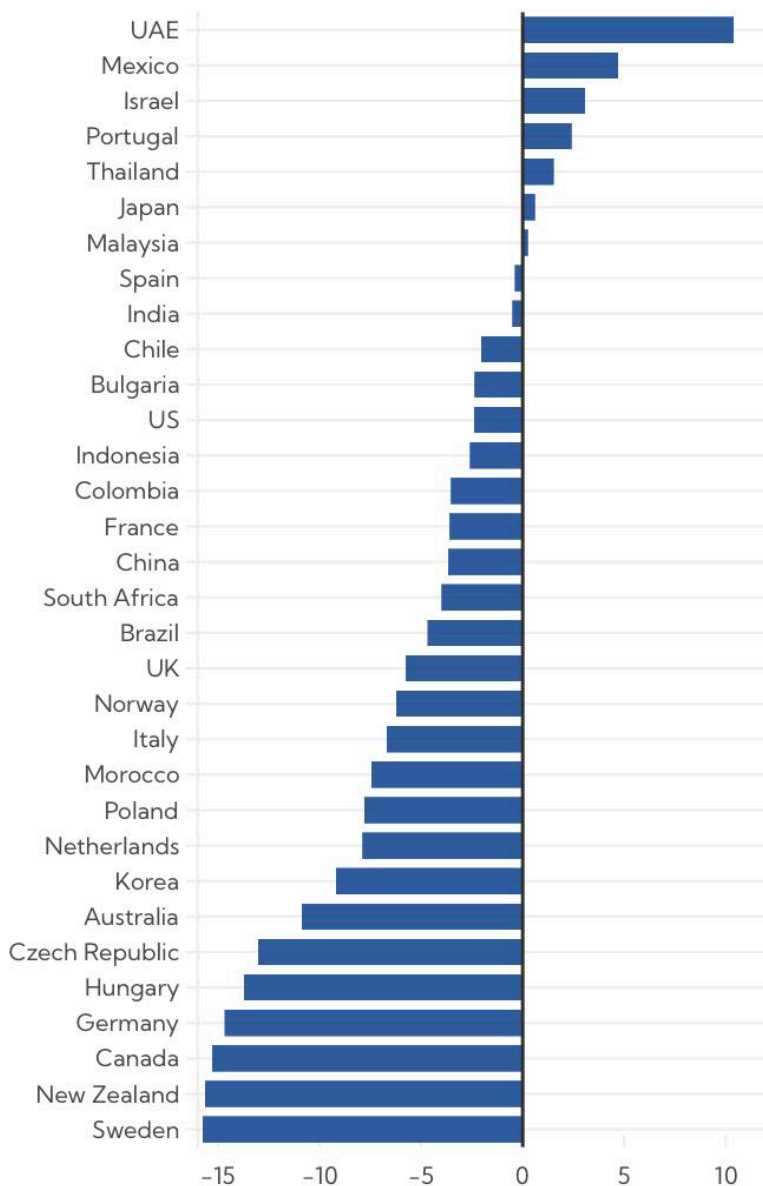
<https://www.standard.co.uk/homesandproperty/property-news/london-house-prices-2023-biggest-growth-and-fall-by-borough-b1128345.html>]

The UK's homelessness rate is also higher than many other European countries. In 2022, the rate of homelessness was 0.34% compared to the 0.08% of Finland.

[Source:

<https://www.greaterchange.co.uk/post/what-country-has-the-lowest-rate-of-homelessness#:~:text=With%20a%20gross%20population%20of,European%20countries%20we%20have%20discussed.>]

Housing affordability in the UK took a significant hit in 2023.



Source: Bank of International Settlements, IMF staff calculations. • Note: Data as of end Q2-2023. Since Q4-2019

IMF

[Chart Source:

<https://www.imf.org/en/Blogs/Articles/2024/01/11/housing-affordability-remains-stretched-amid-higher-interest-rate-environment>]

Shifting our focus to the unemployment rate, the aftermath of both Brexit and the COVID-19 pandemic has intricately sculpted the UK's labor landscape. After a post-Brexit dip in 2020, the unemployment rate embarked on a rollercoaster ride. While reaching a near-historic low of 3.5% in August 2022, it has since inched upwards, settling at 4.2% as of December 2023.

[Source: <https://www.economicshelp.org/blog/5695/alevel/unemployment-stats-and-graphs/>]

However, this economic narrative isn't uniform across regions. In July 2023, the pain of unemployment is felt distinctly, with rates varying from 71.1% in Northern Ireland to 79.6% in the South East.

[Source:

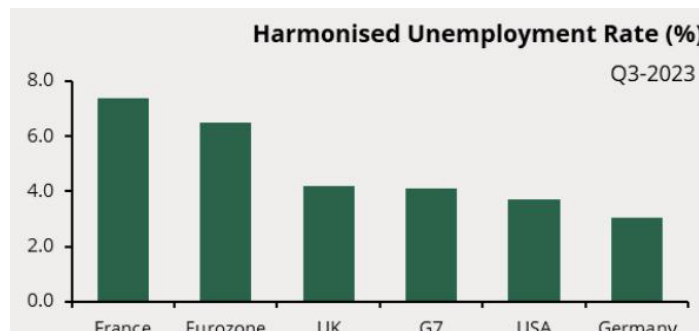
<https://www.ons.gov.uk/employmentandlabourmarket/peopleinwork/employmentandemployeetypes/bulletins/regionallabourmarket/september2023>]

This rise in unemployment carries weighty economic consequences. A dwindling workforce affects consumer spending, a pivotal driver of economic growth, potentially slowing down overall economic activity. Furthermore, despite high unemployment, sectors like healthcare and agriculture face labor shortages due to skill mismatches stemming from limited post-Brexit immigration, hindering their growth potential.

[Source:

<https://www.ons.gov.uk/employmentandlabourmarket/peopleinwork/employmentandemployeetypes/bulletins/regionallabourmarket/december2022>, <https://cep.lse.ac.uk/brexit/>]

In stark contrast, the US unemployment rate stands at 3.7% as of December 2023, underscoring a more rapid labor market recovery in the US post-pandemic.



[Chart Source: <https://commonslibrary.parliament.uk/research-briefings/sn02800/>]

Concluding our examination of the UK economy, it is evident that the nation continues to struggle with issues such as escalating living expenses, a housing crisis, and increasing unemployment, fueled by the impacts of both Brexit and the pandemic. To address these challenges, the government should prioritize affordable housing, bolster support services, and implement economic growth initiatives.

The question remains: Can the UK surmount these obstacles and pave the way for stability and prosperity?